Absorbing Transition DID Results: Bachelor Plus — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.003		-0.019		0.014
		(0.019)		(0.016)		(0.012)
× Voluntary Rotation		0.001		0.004		-0.002
		(0.007)		(0.004)		(0.006)
Pooled	0.001		0.002		0.000	
	(0.005)		(0.003)		(0.005)	
Mandatory − Voluntary		-0.004		-0.023		0.016
Difference p-value		0.832		0.162		0.232
Observations	41,470	36,301	41,470	36,301	41,470	36,301
Firms	5,304	4,907	5,304	4,907	5,304	4,907
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.026		0.004		0.023
		(0.023)		(0.016)		(0.016)
× Voluntary Rotation		0.003		0.012*		-0.005
		(0.012)		(0.007)		(0.011)
Pooled	0.003		0.011*		-0.005	
	(0.010)		(0.006)		(0.010)	
Mandatory − Voluntary		0.022		-0.008		0.028
Difference p-value		0.385		0.629		0.144
Observations	26,408	25,079	26,408	25,079	26,408	25,079
Firms	3,121	3,096	3,121	3,096	3,121	3,096
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.012		-0.014		0.027*
		(0.017)		(0.012)		(0.015)
× Voluntary Rotation		-0.006		0.000		-0.005
		(0.005)		(0.003)		(0.004)
Pooled	-0.003		-0.001		-0.003	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.018		-0.013		0.032**
Difference p-value		0.326		0.283		0.042
Observations	46,190	40,491	46,190	40,491	46,190	40,491
Firms	5,618	5,263	5,618	5,263	5,618	5,263
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.014		-0.012		0.030**
		(0.016)		(0.011)		(0.014)
× Voluntary Rotation		-0.005		-0.001		-0.006
		(0.005)		(0.004)		(0.004)
Pooled	-0.003		-0.001		-0.003	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.020		-0.012		0.037***
Difference p-value		0.246		0.320		0.010
Observations	48,254	42,370	48,254	42,370	48,254	42,370
Firms	5,618	5,311	5,618	5,311	5,618	5,311
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.